Srishti Malhotra.

your performance is good and keep doing good work

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Advanced Accounting

29+43.5

Mock Test -1

43.5/70

72.5/100

Descriptive Questions

please write in legible handwritting

Answer -2 (a)

Conditions to be fulfilled for an amalgamation to be in nature of merger as per AS-14, accounting for Amalgamations.

(1) All assets and liabilities of transferor co. become assets & liabilities of transferee company. ✓ 0.75

immediately b4 amalgamation

(2) Shareholders holding not less than 90% of face value of equity shares of transferor company become equity shareholders of transferee company. ✓ 1

(3) The consideration for amalgamation is discharged wholly by issue of equity shares in transferee company. ✓ 0.75

except cash may be paid for fraction

(4) No adjustment is intended to be made in book values of assets and liabilities when incorporated in financial statements of transferee company. ✓ 1

(5) The business of transferor co. is intended to be carried on by transferee company ✓ 1

4.5/6

o mark for introduction and conclusion

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Answer - 2 (b).

Journal Entries.
In the Books of Preeti Ltd.

Equity Shareholder Capital	20L	
To Share Surrender		10L
To Equity share capital.		10L
(Being shares sub divided into ₹10 each) 0.5		
15% Debenture	3L	
Int. payable A/c (50%)	45000	
To Reconstruction A/c		3.45L
(Being 50% of claims to reconstruction A/c in consideration of 10% PS) 0.5		
Trade payables	104000	
To Reconstruction A/c)		104000
(Being claims of Trade payables reduced) 0.5		
Share Surrender	10L	
To 10% PSC		2L
To ESC 0.5		78000
To Reconstruction		722000
(Being PSC and ESC reduced & surrendered)		
Reconstruction A/c	1171000	
To PnL A/c		1160.000
To Capital Reserve) 1		11000
(Being PnL and CR transfered)		

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Answer - 3(a).

(i) Accounting profit → 1500,000
Book profit As per MAT → 750,000
Profit as per IT Act → 250,000
Tax Rate → 20%.
MAT Rate → 7.5%.
Tax as per accounting profit → 15L × 20% → 300,000
Tax as per IT act → 2.5L × 20% → 50,000
Tax as per MAT → 7.5L × 7.5% → 56250 ✓
Tax exp. → current Tax + Deffered Tax
3L = 50,000 + Deffered Tax
Deff. Tax → 2.5L ✓
Amt of tax to be dejited in PnL
Current Tax + DTL + Excess of MAT over current Tax
50,000 + 2.5L + 6250
= ₹ 306250 ✓

5/5

(ii) Long term loan → ₹ 30,00,000 (USD1 = 60₹)
$\frac{30,00,000}{60}$ ⇒ 50,000 $

On bs Date → US $1 = 62
loss to ✓ be recorded ⇒ (62-60) × 50,000
= 100,000 ✓
To be recd from Prakash Ltd → ₹ 10,00,000
(10L ÷ 59) ✓
rate ⇒ US $ 1 = 59₹
on bs date → US$1 = ₹ 62.
Profit on b/s date = (62-59) × 16949.152
= 50847.456 ✓

3/5

Cr ✓ PnL by 50847.456 ₹

accounting treatement for exchange loss and gain are completely given

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Answer - 3 (b).

No, it is not permissible to recognize deffered Tax liability (DTL) on ground that the company expects future accounting and tax losses.
AS generally, requires DTL to be recog- -nized for all taxable temporary differences with limited exceptions that do not include expectation of future losses. 1/1

(1) DTL arises when taxable temporary differen- -ces exist - that is ~~taxab~~ when book value of an asset exceeds tax base.

(2) As per AS-22, DTL are to be recognized for all taxable temporary differences, without exception, unless prohibited.

(3) Expectation of future losses affect DTA and not DTL.

(4) Company can't avoid to recognize DTL on grounds of expected losses.
It is based on accrual and matching concept and not on mgmt's expectation of future probability. 1.5/3

2.5/3

please write key words in answer
give answer as per requirement of question

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Answer - 4 (a).

Cashflow statement from operating Activities for the year ended 31-3-23 (Indirect Method).

Net profit before tax and extra ordinary items (WN-1)		92000
Adjustments related to non cash & non-operating items		
+ depreciation		
furniture and fixtures	0.25	5000
vehicles	0.25	2200
+ Int on debentures		12000
~~+ Transfer to General Reserve~~		~~30,000~~
- Profit on sale of assets (Long term)	0.25	(8000)
- Dividend recd.		-
- Interest Income recd.	0.25	(6500)
(-) Profit on sale of Land	0.25	(25000)
+ Loss on sale of vehicle	0.25	800
+ Goodwill w/off	0.25	13000
Operating profit before working capital changes	1	85500
(+) Dec. in CA and Inc in CL		
Trade Recievables	0.25	6000
Trade payables	0.25	4000
~~Creditors for Equipment~~		~~10500~~
outstanding Expenses	1	1500
		97000

→

(−) Inc. in CA and Dec. in CL

Stock in hand	0.25	(8000)
Bills payable	0.25	(2000)
Bills receivable	0.25	(3650)
~~Loan from Mr Andrew~~		~~(15000)~~
Cash generated		83350
(−) Income tax paid	0.25	(9000)
CFOA	1	74350

9/10

working note of vehicle not prepared

Working Notes

(1)

Increase in PnL	0.25	41000
Increase in GR	0.25	30000 +
Interim dividend paid	0.25	5000
Transfer - provision for tax		16000 0.5
NPBT	0.5	92000

(2)

Provision for Tax Account

To bank (B/f)	0.25 9000	By bal. b/d		11000
To bal. c/d	18000	By PnL	0.25	16000
	27000			27000

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Answer-4 (b).

To identify reportable segments in accordance with criteria laid down as per AS 17

	A	B	C	D	Total
Revenue	100 ✓	300 ✓	200 ✓	400 ✓	1000
Result	45 ✓	-70 ✓	80 ✓	-10 ✓	45
Assets	39 ✓	51 ✓	48 ✓	12 ✗	150

Criteria → segment revenue, result and assets should be more than 10% of total revenue, result and assets respectively.

As per AS-17,
Business segment should be identified reportable if -
① Its revenue is 10% or more than of total revenue.
0.5
② Segment result is profit or loss is 10% or more of -
0.5 → combined result of all segments in pro
0.5 → combined result of all segments in loss
③ Segment assets are 10% or more of total of all.
0.5

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Accordingly,
All segments i.e A, B, C, D are reportable. 0.5

2.5/4
calculation is not clearly presented.

Answer - 6 (a)

According to AS-29, 'Provisions, contingent liabilities, and contingent assets'.
Contingent liability should be disclosed in financial statements if following conditions are satisfied - 0.5

→ There is a present obligation arising out of past events but not recognized as provision
→ The amount of obligation can't be measured with sufficient reliability to be recognized as provision.
→ It is not probable that an outflow of resources embodying economic benefits will be required to settle obligation.
→ The possibility of an outflow of resources embodying economic benefits is also remote 0.5 these disclosure is not required

In given question,
The probability winning first 5 cases is 100%. hence, no need to record for contingent loss.
The probability of winning next 10 cases is 50% and remaining 5 cases is 50%

As per AS-29, we will make provision for loss, if probable.

• 1.5

Amt of loss is calculated as -

Expected loss in 10 cases → 40% of 12L + 10% of 20L

⇒ ₹ 680,000

Expected loss in remaining 5 cases ⇒ 30% of 10L + 20% of 21L

⇒ ₹ 720,000

Loss to be recognized as contingent liability

(680000 × 10 + 720,000 × 5)

⇒ 68L + 36L

⇒ ₹ 104L

4.5/5

2

Answer - 6 (b)

fair value of machine → ₹ 10,00,000

Economic life → 4 years.

ABC Ltd paid ₹ 3.5L per year.

1

GRV = ₹ 50,000.

Estimated GRV by XYZ Ltd → ₹ 35000

Rate → 16% Pvf ⇒ 0.8621

0.7432

0.6407

0.5523

	Payments	Pvf @ 16%		PV
1	350,000	0.8621	0.5	301735
2	350,000	0.7432	0.5	260120
3	350,000	0.6407	0.5	224245
4	350000	0.5523	0.5	193305
4	50,000	0.5523	0.5	27615
			0.5	1007020

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Calculation of finance charges per year.

Year	finance charges	Payments	Red^n in O/s liability	O/s liability
Y1 begin	–	–	–	10L
end Y1	160,000	3.5L	1.9L 0.5	8.1L
end Y2	129600	3.5L	220400 0.5	589600
end Y3	94336	3.5L	255664 0.5	333936
end Y4	53430	3.5L	296570 0.5	37366.

5/5

fv of machine → ₹ 10L 0.5

NPV of MLP → ₹ 1007020 0.5

Since, fv < NPV, machine will be recorded at ₹ 10,00,000 0.5

Answer – 6 (c)

M Ltd. → single product

Plant A Plant B Plant C.

case 1 :- A is a seperate cash generating unit because there is an active market for its product. 1

Although, there is an active market for products B and C, cash inflows for B and C depend on allocation of production across 2 sites. It is unlikely that future

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cash inflows for B, and C can be determined individually. Therefore, it is likely that B and C together is smallest, identifiable group of assets that generates cash inflow from continuing use that are largely independent. 1

In determining value in use of A, B and C, M Ltd. adjusts financial budgets to reflect best estimate of future market prices for A's products.

Case II It is likely, recoverable amt. of each plant can not be assessed independently becoz- 1

(a) There is no active market for A's products. Therefore, A's cash inflows are dependent on sales of final product by B and C,

(b) and although, there is an active market for products assembled by B and C, cash inflows for B and C depend on allocation of production across 2 sites. It is unlikely, that future cash inflows for B and C can be determined individually. 1

As a consequence, it is likely A, B and C together is smallest identifiable group of assets that generates cash inflows from continuing use that are largely independent.

4/4

0 marks for not writting a therotical principle

Answer -1

Year	P/L (NI) [30%]	Minority PL (Dr) Cr	Add^n Lon.	Minority share in losses	[illegible]
		1 324000			
2010	250,000 0.5	0.5 (75000)	0.5 (175000)	0.5	244000
Bal.		249000			
2011-12	(4L)	(1.2L)	(2.8L)		244000
Bal.		129000			
2011-12	(5L)	(1.5L)	(3.5L)		244000
		(21000)			
	Loss of minority borne by holding	21000	(21000)	24000 ~~21000~~ 21000	
Bal.		NIL	(371000)		
2013-14	(120,000)	(36000)	(84000)		
	Loss of minority borne by holding	0.5 36000	0.5 (36000)	0.5 36k	57000 0.5
Bal.		NIL	(120000)		
2014-15	50,000	15000	35000		24400
	Profit share of minority to be adjusted against loss.	0.5 (15000)	0.5 15000	(15000)	42000
		NIL	50k		
2015-16	100,000	30k	70k		
	Profit share of minority to be adjusted against losses	0.5 (30k)	0.5 30k	(30k)	12k 244[illegible]
Bal.		NIL	1L		
2016-17	1.5L	45000	105000	(12000)	- 24400
		0.5 (12000)	12000	0.5	0.5
Balance		33000	117000		

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Working Note.

	100%	70%	30% (MI)
Share capital	1L	7L	3L
Reserves	80K	56000	24000
		0.5 756000	0.5 324000
(-) Cost of Investment		(10L)	
Goodwill.		244000	

9.5/14

MCQs 29/30

Good Work,Keep it up

Q1 Case scenario 1

(1) (c) ✓
(2) (b) ✓
(3) (c) ✓
(4) (d) ✓

Q2 Case scenario 2

(1) (a) ✓
(2) (c) ✓
(3) (d) ✓
(4) (b) ✓

Q3 Case scenario 3

(1) (b) ✓
(2) (d) ✓
(3) (c) ✓
(4) (c) ✓

Q4 (d) ✗

Q5 (b) ✓

Q6 (a) ✓